# ⚖️ Business Law Exam 2 LM3-6 Study Guide

**Course:** BUS 202 Chapter 4-6 Exam 2 Review

**Topics:** Torts, Negligence, Business Ethics, Constitutional Law, Court Procedures

## Unit 1: Tort Law Overview & Intentional Torts to Persons

> **Tort:** A civil (not criminal) wrongdoing that injures another person and creates legal liability.

### Intentional Torts to Persons

- **Assault:** Intentional act creating reasonable apprehension of immediate harmful contact (no actual contact required)
- **Battery:** Intentional physical contact that is harmful or offensive
- **False Imprisonment:** Intentional confinement without legal authority or consent
- **Intentional Infliction of Emotional Distress:** Extreme conduct intentionally causing severe emotional distress
- **Defamation:** False statement damaging someone's reputation (Libel = written; Slander = spoken)
- **Invasion of Privacy:** Unauthorized intrusion into private affairs

# Unit 2: Intentional Torts to Property

### Trespass to Land & Chattels

- **Trespass to Land:** Unauthorized entry onto another's property
- **Trespass to Chattels:** Intentional interference with personal property
- **Conversion:** Exercising dominion over property so serious it warrants full value recovery

*Key: Conversion is more serious than trespass to chattels; allows recovery of full property value.*

# Unit 3: Negligence Elements (CRITICAL)

1. **Duty of Care:** Defendant owed a legal duty to plaintiff
2. **Breach of Duty:** Defendant failed to meet standard of care (reasonable person test)
3. **Actual Causation:** "But-for" the breach, injury wouldn't have occurred
4. **Proximate Causation:** Injury was foreseeable result of breach
5. **Damages:** Plaintiff suffered actual harm (physical, emotional, property)

*All 5 elements must be proven for negligence liability.*

# Landmark Case: Palsgraf v. Long Island Railroad

> **Issue:** Did the railroad owe a duty to Palsgraf (not the person who fell)?
> **Holding:** NO. Duty extends only to foreseeable victims. Palsgraf was not in the foreseeable zone of danger.
> **Principle:** Proximate causation limits liability to reasonably foreseeable consequences.

# Unit 4: Causation & Damages

## Actual vs. Proximate Causation

- **Actual Causation:** "But-for" the breach, would injury occur? (factual causation)
- **Proximate Causation:** Is the injury a foreseeable result? (legal causation)

## Damages Types

- **Compensatory:** Medical expenses, lost wages, pain/suffering, property damage
- **Punitive:** Extra damages to punish egregious conduct (rare in negligence)
- **Nominal:** Small amount when liability exists but no harm

# Unit 5: Business Ethics & Corporate Responsibility

- **Utilitarianism:** Maximize benefit for greatest number
- **Deontological Ethics:** Focus on duties and rules
- **Corporate Stakeholders:** Shareholders, employees, customers, suppliers, community, environment
- **Conflicts of Interest:** Personal interests vs. company/client interests (require disclosure)

# Unit 6: Constitutional Law & Commerce Clause

- **Commerce Clause:** Congress can regulate interstate/foreign commerce and activities substantially affecting it
- **Commercial Speech:** Protected but can be regulated (no false/misleading claims)
- **Federal Agencies:** FDA, FTC, SEC, OSHA, EPA

# Unit 7: Court Procedures & Civil Litigation

## Jurisdiction

- **Subject Matter Jurisdiction:** Court's power to hear TYPE of case
- **Personal Jurisdiction:** Court's power over DEFENDANT
- **Venue:** Proper geographic location for trial

## Litigation Phases

1. Pleadings (Complaint & Answer)
2. Discovery (documents, depositions, interrogatories)
3. Motions (dismiss, summary judgment)
4. Trial (jury or judge)
5. Judgment & Appeal

# Unit 8: Appeal Process & Legal Terminology

## Standards of Review

- **De Novo Review:** Appellate court reviews legal questions independently
- **Abuse of Discretion:** Only reverses if trial judge acted unreasonably
- **Clearly Erroneous:** Reversed only if entire record shows clear conviction of wrong

## Key Terms

- Plaintiff, Defendant, Appellant, Appellee
- Liability, Tort, Damages, Breach
- Negligence, Proximate Cause, Precedent, Injunction
- Statute of Limitations, Deposition, Summary Judgment

## Unit 9: Landmark Cases Summary

**Palsgraf v. Long Island Railroad:** Duty extends only to foreseeable victims
**May v. Chrysler Group LLC:** Manufacturers owe duty to design safe products
**Bad Frog Brewery v. NYS Liquor Authority:** Government can regulate offensive commercial speech

## Unit 10: Exam Prep - IRAC Method

Use IRAC to analyze every scenario:

1. **Issue:** What is the legal question? (e.g., "Is the defendant liable for negligence?")
2. **Rule:** What law applies? (e.g., "Negligence requires duty, breach, causation, damages")
3. **Application:** How does law apply to facts? (e.g., "The defendant owed a duty to the plaintiff as a driver to other road users...")
4. **Conclusion:** What is the result? (e.g., "The defendant is liable for negligence and owes $X in damages")

### Exam Tips

- Read all facts carefully—detail matters
- Analyze every element, not just the first
- Consider defenses even if defendant seems liable
- Apply law to facts (don't just state the law)
- Reach clear conclusions: Who is liable? For what? What damages?